



Integration to Globalisation

Compare and contrast the success of different strategies in increasing integration into the global economy

Introduction: In an increasingly interconnected world, the integration of countries into the global economy has become a key driver of development and prosperity. However, the strategies employed to achieve this integration vary widely, each with its own strengths and limitations. Governments, private actors, regional trade blocs, and foreign aid all play distinct roles in shaping a country's economic ties to the global market. While some strategies focus on attracting foreign direct investment (FDI) or fostering export-led growth, others rely on regional cooperation or external assistance. Yet, the success of these approaches depends on a country's unique context, resources, and priorities. Today, we will compare and contrast these strategies, assessing their effectiveness in promoting sustainable integration into the global economy.

I. Role of Governments

National governments can often play a role in the integration of their country's economy into the globalisation network. They can enhance better infrastructure - airports, railways, ports - and even implement incentives such as low tariffs or SEZ to attract FDI's and investors to establish GVCs in their economy. SEZ are known to help raise the level of of integration to the global economy but they also create a fragmentation of geo spaces and encourage a race to the bottom.

II. Export-led development

Private actors play a major role in exploiting one territory's ressources and enhancing an export-led development strategy. The problem is that these exploitations by TNCs often benefit the world but not sternly the country's interests - e.g. Mali nuclear exploitation by France. Encouraging export-led development attracts TNCs and thus attracts FDIs creating jobs, diversifying economic activities and enhancing transfer of technologies and skills but they also lead to a dependency on external factors and profit repatriation. They also mainly depend on the role of governments depending the legislation over ressources exploitation and the access to decent infrastructures. Some countries developed an economy only based on the exploitation of raw materials and this system does not favour a development towards higher quality industries.

III. Regional integration: Trade Blocs

Countries can organize themselves in intergovernmental organisations such as trade blocs – UE, NAFTA, MERCOSUR. This allow them to establish a location strategy of development along stability. Trade bloc act as a furniture of globalisation as they are clear and defined regions. Nevertheless they mostly favour a core/periphery pattern inside the trade bloc and lead to uneven levels of integration – Case study on NAFTA.

IV. Aid

Some countries, particularly Least Developed Countries (LDCs), are becoming more integrated into the global economy through foreign aid. This aid is often channeled through NGOs, which work at the community level to foster local economies, self-sufficiency, and development. However, these efforts frequently stop short of supporting the growth of modern industries, limiting long-term economic progress.

Additionally, remittances [money sent by expatriate workers to their families back home] can account for up to 20% of some countries' GDP, providing a vital lifeline. Yet, both aid and remittances are often short-term solutions, primarily focused on addressing emergency humanitarian crises due to urgent needs and limited funding.

While these forms of assistance are crucial, they can also create dependency or lead to incoherent projects, such as the underutilized port in Malawi, which fail to align with broader development goals.

Conclusion: In conclusion, the integration of countries into the global economy is a complex process that requires a multifaceted approach. Governments can drive integration through policies that attract FDI and incentivize global value chains (GVCs), as seen with Special Economic Zones (SEZs). Private actors, particularly transnational corporations (TNCs), contribute by leveraging local resources and expertise, though their impact depends on government support and infrastructure. Regional integration, facilitated by trade blocs like the EU or NAFTA, offers stability and a framework for cooperation, while foreign aid and remittances provide critical support for Least Developed Countries (LDCs), albeit often with short-term focus. Ultimately, no single strategy guarantees success. Instead, a combination of these approaches, tailored to a country's specific needs and capabilities, is essential for achieving sustainable and inclusive integration into the global economy.